

F. Hoffmann-La Roche Ltd

Roche Holding AG | SIX: ROP

Discounted Cash Flow Analysis

Valuation date: 2 September 2026

Scenario shown: Base case | CHF millions unless stated

Implied value per share (midpoint): CHF 421.63 vs. current CHF 357.00

Sources: Roche Annual Reports and Finance Reports 2023–2025; market data as noted on the Assumptions tab.

Colour legend

1,234.5	Blue – hardcoded input (reported figure or assumption)
1,234.5	Black – formula calculated on the same tab
1,234.5	Green – formula linking to another tab
	Yellow fill – key output or scenario lever
	Red fill on a check row – model integrity error

Tabs: Cover · Assumptions · Historicals · Operating Model · WACC · DCF · Sensitivity · Charts

Assumptions

All model drivers. Blue = hardcoded input. Change the scenario in cell D4; the Live column feeds the entire model.

Scenario selector (1 = Base, 2 = Bull, 3 = Bear)

1 Base case

Market data & valuation inputs	Unit	Value	Source / comment
Valuation date	date	2 Sep 2026	User-specified valuation date
Current share price (ROP)	CHF	CHF 357.00	Nearest dated SIX close found (7 Sep 2026, Stockopedia); exact 2 Sep 2026 close not retrieved – verify on SIX
52-week low	CHF	CHF 254.00	Morningstar ROP quote page (52-week range), late Sep 2026 – verify vs. 2 Sep 2026 window
52-week high	CHF	CHF 375.80	Morningstar ROP quote page (52-week range), late Sep 2026 – verify vs. 2 Sep 2026 window
Observed raw beta (vs. local index)	x	0.35	stockanalysis.com, SWX:RO / ROP (beta 0.34–0.35)
Peer EV / 2026E EBITDA – low	x	10.5x	Assumption: EU/US large-cap pharma trading range; not from annual reports
Peer EV / 2026E EBITDA – high	x	13.5x	Assumption: EU/US large-cap pharma trading range; not from annual reports
Sensitivity step – WACC	%	0.3%	Grid increment
Sensitivity step – terminal growth	%	0.3%	Grid increment
Sensitivity step – exit multiple	x	0.5x	Grid increment

Operating & valuation drivers	Unit	Base	Bull	Bear	Live	Source / rationale
Revenue						
Pharmaceuticals sales growth – 2026E	%	4.0%	6.0%	1.5%	4.0%	Hist. CHF: +4.3% (24A), +3.2% (25A); 2026 guide mid-single digit CER, CHF translation drag; bear = LOE / pricing (IRA, MFN)
Pharmaceuticals sales growth – 2027E	%	4.5%	6.5%	1.0%	4.5%	
Pharmaceuticals sales growth – 2028E	%	4.0%	6.0%	0.5%	4.0%	
Pharmaceuticals sales growth – 2029E	%	3.5%	5.5%	0.5%	3.5%	
Pharmaceuticals sales growth – 2030E	%	3.0%	5.0%	1.0%	3.0%	
Diagnostics sales growth – 2026E	%	1.5%	3.0%	–	1.5%	Hist. CHF: –0.9% (24A), –3.3% (25A); China volume-based procurement drag fading
Diagnostics sales growth – 2027E	%	3.0%	4.5%	1.0%	3.0%	
Diagnostics sales growth – 2028E	%	3.5%	5.0%	1.5%	3.5%	
Diagnostics sales growth – 2029E	%	3.5%	5.0%	2.0%	3.5%	
Diagnostics sales growth – 2030E	%	3.5%	5.0%	2.0%	3.5%	
Other revenue – % of Group sales	%	3.0%	3.2%	2.8%	3.0%	Hist.: 2.9% / 3.1% / 3.0% (royalties, collaboration income)
Profitability						
Adjusted EBITDA margin – 2026E	%	39.2%	40.0%	38.0%	39.2%	Adj. EBITDA = core operating profit + depreciation (PPE + right-of-use). Hist.: 36.4% / 37.7% / 38.7%
Adjusted EBITDA margin – 2027E	%	39.6%	40.8%	37.5%	39.6%	
Adjusted EBITDA margin – 2028E	%	40.0%	41.5%	37.0%	40.0%	
Adjusted EBITDA margin – 2029E	%	40.2%	42.0%	36.5%	40.2%	
Adjusted EBITDA margin – 2030E	%	40.4%	42.5%	36.0%	40.4%	
D&A (incl. amortisation) – % of revenue	%	5.3%	5.2%	5.5%	5.3%	Hist.: 5.7% / 5.5% / 5.3%
Stock-based compensation – % of revenue (memo)	%	1.4%	1.3%	1.5%	1.4%	Hist.: 1.4% each year. Treated as a cash-like cost: already inside EBITDA, NOT added back
Investment & working capital						
Capex (PPE + intangibles) – % of revenue	%	8.5%	8.0%	9.5%	8.5%	Hist.: 7.7% / 8.0% / 9.1%
Cost of sales – % of revenue (for WC days)	%	26.0%	25.5%	26.8%	26.0%	IFRS cost of sales. Hist.: 27.1% / 26.1% / 26.3%
Receivable days (DSO, on revenue)	days	66.0	63.0	70.0	66.0	Hist.: 66.6 / 66.1 / 66.3
Inventory days (DIO, on cost of sales)	days	165.0	155.0	175.0	165.0	Hist.: 172.9 / 170.5 / 164.0
Payable days (DPO, on cost of sales)	days	120.0	130.0	110.0	120.0	Hist.: 96.5 / 109.7 / 126.7 – 2025 elevated, partial normalisation
Tax						
Cash tax rate on EBIT	%	19.0%	18.0%	20.5%	19.0%	IFRS ETR 12.2% / 22.1% / 18.7%; core ETR 2025 18.6%; Basel-Stadt rate rise from 2026
Terminal value						
Terminal (perpetuity) growth	%	1.5%	1.8%	1.0%	1.5%	Below long-run nominal CHF GDP; patent cliff risk in bear
Exit multiple – EV / terminal-year EBITDA	x	12.0x	13.5x	10.5x	12.0x	Assumption, consistent with peer range above
WACC inputs						
Risk-free rate (CHF, normalised)	%	1.0%	1.0%	1.0%	1.0%	Held constant across scenarios (scenarios flex operations, not discount rate). Assumption: normalised 10y Swiss Confederation yield; not from annual reports
Equity risk premium	%	6.5%	6.5%	6.5%	6.5%	Held constant across scenarios. Assumption
Unlevered beta (peer-based)	x	0.80	0.80	0.80	0.80	Held constant across scenarios. Assumption: global large-cap pharma vs. MSCI World; local raw beta (0.35) understates global risk
Pre-tax cost of debt	%	3.5%	3.5%	3.5%	3.5%	Held constant. 2025 interest expense / avg. debt = 3.4% (see WACC tab); USD-heavy bond book

Historicals

CHF millions, years ended 31 December. Source: Roche Finance Reports 2024 (2023 restated) and 2025. Blue = as reported.

	2023A	2024A	2025A	% rev 23A	% rev 24A	% rev 25A	YoY 24A	YoY 25A	Source
Income statement									
Pharmaceuticals sales	44,265.0	46,171.0	47,669.0	73.2%	74.0%	75.2%	4.3%	3.2%	FR24 p.48 (restated) / FR25 p.48
Diagnostics sales	14,451.0	14,324.0	13,847.0	23.9%	23.0%	21.9%	(0.9%)	(3.3%)	FR24 p.48 (restated) / FR25 p.48
Group sales	58,716.0	60,495.0	61,516.0	97.1%	97.0%	97.1%	3.0%	1.7%	
Other revenue	1,725.0	1,900.0	1,840.0	2.9%	3.0%	2.9%	10.1%	(3.2%)	Consolidated income statement
Revenue	60,441.0	62,395.0	63,356.0	100.0%	100.0%	100.0%	3.2%	1.5%	
Cost of sales	(16,357.0)	(16,283.0)	(16,645.0)	(27.1%)	(26.1%)	(26.3%)	(0.5%)	2.2%	
Gross profit	44,084.0	46,112.0	46,711.0	72.9%	73.9%	73.7%	4.6%	1.3%	
Research and development	(14,200.0)	(15,304.0)	(13,352.0)	(23.5%)	(24.5%)	(21.1%)	7.8%	(12.8%)	
Selling, general and administration	(14,881.0)	(14,896.0)	(15,161.0)	(24.6%)	(23.9%)	(23.9%)	0.1%	1.8%	
Other operating income (expense)	392.0	(2,495.0)	278.0	0.6%	(4.0%)	0.4%	(736.5%)	(111.1%)	2024 incl. CHF 4.7bn goodwill/intangible impairments
Operating profit (IFRS)	15,395.0	13,417.0	18,476.0	25.5%	21.5%	29.2%	(12.8%)	37.7%	
Financing costs	(996.0)	(1,412.0)	(1,349.0)	(1.6%)	(2.3%)	(2.1%)	41.8%	(4.5%)	
Other financial income (expense)	(320.0)	(212.0)	(154.0)	(0.5%)	(0.3%)	(0.2%)	(33.8%)	(27.4%)	
Profit before taxes	14,079.0	11,793.0	16,973.0	23.3%	18.9%	26.8%	(16.2%)	43.9%	
Income taxes	(1,721.0)	(2,606.0)	(3,174.0)	(2.8%)	(4.2%)	(5.0%)	51.4%	21.8%	
Net income	12,358.0	9,187.0	13,799.0	20.4%	14.7%	21.8%	(25.7%)	50.2%	
Attributable to non-controlling interests	(860.0)	(910.0)	(919.0)	(1.4%)	(1.5%)	(1.5%)	5.8%	1.0%	
Net income attributable to Roche shareholders	11,498.0	8,277.0	12,880.0	19.0%	13.3%	20.3%	(28.0%)	55.6%	
Effective tax rate (IFRS)	12.2%	22.1%	18.7%						
Per share									
Weighted avg. shares & NES outstanding (m)	799.0	797.0	796.0				(0.3%)	(0.1%)	Note 29
Dilution – equity compensation plans (m)	5.0	5.0	7.0				–	40.0%	Note 29
Diluted shares (m)	804.0	802.0	803.0				(0.2%)	0.1%	
Diluted EPS (CHF) – calculated	14.30	10.32	16.04				(27.8%)	55.4%	
Diluted EPS (CHF) – as reported	14.31	10.31	16.04				(28.0%)	55.6%	Note 29 (difference = share rounding)
Dividend per share (CHF)	9.60	9.70	9.80				1.0%	1.0%	Annual Reports
Segment split									
Pharmaceuticals operating profit	17,911.0	15,587.0	21,666.0	29.6%	25.0%	34.2%	(13.0%)	39.0%	
Diagnostics operating profit	1,392.0	1,946.0	1,070.0	2.3%	3.1%	1.7%	39.8%	(45.0%)	
Corporate	(3,908.0)	(4,116.0)	(4,260.0)	(6.5%)	(6.6%)	(6.7%)	5.3%	3.5%	
Check: segments vs. Group operating profit	–	–	–						
Pharmaceuticals – operating margin on sales	40.5%	33.8%	45.5%						
Diagnostics – operating margin on sales	9.6%	13.6%	7.7%						
Pharmaceuticals – share of Group sales	75.4%	76.3%	77.5%						
Adjusted EBITDA build									
Core operating profit	19,240.0	20,823.0	21,833.0	31.8%	33.4%	34.5%	8.2%	4.9%	Finance Review, core results
Depreciation – property, plant and equipment	2,423.0	2,358.0	2,410.0	4.0%	3.8%	3.8%	(2.7%)	2.2%	Note 30
Depreciation – right-of-use assets	325.0	323.0	300.0	0.5%	0.5%	0.5%	(0.6%)	(7.1%)	Note 30
Amortisation – intangible assets	716.0	742.0	676.0	1.2%	1.2%	1.1%	3.6%	(8.9%)	Note 30
Total D&A (excl. impairment)	3,464.0	3,423.0	3,386.0	5.7%	5.5%	5.3%	(1.2%)	(1.1%)	
Impairment – goodwill	591.0	3,209.0	40.0	1.0%	5.1%	0.1%	443.0%	(98.8%)	Note 30
Impairment – intangible assets	608.0	1,443.0	316.0	1.0%	2.3%	0.5%	137.3%	(78.1%)	Note 30
Impairment – PPE	350.0	627.0	301.0	0.6%	1.0%	0.5%	79.1%	(52.0%)	Note 30
Impairment – right-of-use assets	319.0	138.0	58.0	0.5%	0.2%	0.1%	(56.7%)	(58.0%)	Note 30
Total impairments	1,868.0	5,417.0	715.0	3.1%	8.7%	1.1%	190.0%	(86.8%)	
Stock-based compensation expense	830.0	855.0	857.0	1.4%	1.4%	1.4%	3.0%	0.2%	Note 30 (equity-settled plans)
Adjusted EBITDA (core OP + depreciation)	21,988.0	23,504.0	24,543.0	36.4%	37.7%	38.7%	6.9%	4.4%	
Adjusted EBITDA margin	36.4%	37.7%	38.7%						
EBITDA (IFRS, before impairment)	20,727.0	22,257.0	22,577.0	34.3%	35.7%	35.6%	7.4%	1.4%	
Core operating margin	31.8%	33.4%	34.5%						
Interest expense on debt	797.0	1,199.0	1,137.0				50.4%	(5.2%)	Note 4
Margin bridge – IFRS operating margin (pp change)									
Opening operating margin		25.5%	21.5%						
Gross margin change		1.0%	(0.2%)						
R&D intensity change		(1.0%)	3.5%						
SG&A intensity change		0.7%	(0.1%)						
Other operating items change		(4.6%)	4.4%						
Closing operating margin		21.5%	29.2%						
Check vs. reported margin		–	–						
Balance sheet									
Property, plant and equipment	21,724.0	22,557.0	21,949.0						
Right-of-use assets	1,215.0	1,183.0	985.0						

Goodwill	9,390.0	7,876.0	7,492.0
Intangible assets	14,828.0	17,303.0	19,321.0
Deferred tax assets	6,882.0	8,569.0	8,411.0
Defined benefit plan assets	1,019.0	2,256.0	1,791.0
Other non-current assets	1,964.0	2,021.0	2,025.0
Total non-current assets	57,022.0	61,765.0	61,974.0
Inventories	7,749.0	7,606.0	7,479.0
Accounts receivable	11,021.0	11,297.0	11,506.0
Current income tax assets	344.0	415.0	393.0
Other current assets	3,130.0	3,401.0	3,875.0
Marketable securities	5,134.0	10,342.0	9,894.0
Cash and cash equivalents	5,376.0	6,975.0	5,582.0
Assets held for sale	692.0	–	–
Total current assets	33,446.0	40,036.0	38,729.0
Total assets	90,468.0	101,801.0	100,703.0
Long-term debt	24,809.0	30,722.0	27,430.0
Deferred tax liabilities	593.0	832.0	884.0
Defined benefit plan liabilities	4,379.0	4,381.0	3,950.0
Provisions – non-current	1,059.0	1,079.0	1,055.0
Other non-current liabilities	1,541.0	1,603.0	1,503.0
Total non-current liabilities	32,381.0	38,617.0	34,822.0
Short-term debt	4,400.0	3,932.0	4,206.0
Current income tax liabilities	2,257.0	2,923.0	2,867.0
Provisions – current	1,684.0	1,726.0	1,743.0
Accounts payable	4,325.0	4,894.0	5,779.0
Other current liabilities	12,150.0	13,548.0	13,406.0
Liabilities held for sale	8.0	–	–
Total current liabilities	24,824.0	27,023.0	28,001.0
Total liabilities	57,205.0	65,640.0	62,823.0
Equity attributable to Roche shareholders	29,315.0	31,767.0	33,802.0
Non-controlling interests	3,948.0	4,394.0	4,078.0
Total equity	33,263.0	36,161.0	37,880.0
Total liabilities and equity	90,468.0	101,801.0	100,703.0
Balance check (assets – liabilities – equity)	–	–	–

Debt, leases & working capital memo

Lease liabilities	1,573.0	1,700.0	1,555.0
Total debt (bonds, CP, bank)	29,209.0	34,654.0	31,636.0
Gross debt incl. leases	30,782.0	36,354.0	33,191.0
Cash + marketable securities	10,510.0	17,317.0	15,476.0
Net debt (Roche definition, excl. leases)	18,699.0	17,337.0	16,160.0
Net debt – as reported	18,699.0	17,337.0	16,160.0
Check: net debt vs. reported	–	–	–
Net pension deficit (DB liabilities – DB assets)	3,360.0	2,125.0	2,159.0
Trade working capital (AR + inventories – AP)	14,445.0	14,009.0	13,206.0
Receivable days (DSO)	66.6	66.1	66.3
Inventory days (DIO)	172.9	170.5	164.0
Payable days (DPO)	96.5	109.7	126.7

Note 28

Finance Review (shown as negative there)

Cash flow statement

Cash generated from operations	22,617.0	24,332.0	25,524.0
(Increase) decrease in net working capital	(1,107.0)	1,161.0	(1,657.0)
Payments made for defined benefit plans	(743.0)	(661.0)	(654.0)
Utilisation of provisions	(1,052.0)	(1,012.0)	(1,222.0)
Other operating cash flows	–	1.0	–
Income taxes paid	(3,620.0)	(3,727.0)	(3,139.0)
Cash flow from operating activities	16,095.0	20,094.0	18,852.0
Purchase of PPE	(3,742.0)	(3,529.0)	(3,748.0)
Purchase of intangible assets	(907.0)	(1,480.0)	(2,031.0)
Total capex	(4,649.0)	(5,009.0)	(5,779.0)
Cash flow from investing activities – as reported	(10,643.0)	(11,393.0)	(8,543.0)
of which other investing (M&A, securities, disposals)	(5,994.0)	(6,384.0)	(2,764.0)
Cash flow from financing activities	(4,239.0)	(6,819.0)	(11,368.0)
Currency translation on cash	(828.0)	(283.0)	(334.0)
Increase (decrease) in cash	385.0	1,599.0	(1,393.0)
Opening cash	4,991.0	5,376.0	6,975.0
Closing cash – per cash flow	5,376.0	6,975.0	5,582.0
Check: cash flow vs. balance sheet cash	–	–	–
CFO – capex	11,446.0	15,085.0	13,073.0
Capex – % of revenue	7.7%	8.0%	9.1%
D&A – % of revenue	5.7%	5.5%	5.3%
SBC – % of revenue	1.4%	1.4%	1.4%
Cost of sales – % of revenue	27.1%	26.1%	26.3%
Other revenue – % of Group sales	2.9%	3.1%	3.0%

Operating Model

CHF millions. Five-year forecast from revenue to unlevered free cash flow. All drivers from the AssumptScenario: Base case

	2025A	2026E	2027E	2028E	2029E	2030E
Drivers (linked from Assumptions – Live)						
Pharmaceuticals sales growth		4.0%	4.5%	4.0%	3.5%	3.0%
Diagnostics sales growth		1.5%		3.0%	3.5%	3.5%
Other revenue – % of Group sales		3.0%	3.0%	3.0%	3.0%	3.0%
Adjusted EBITDA margin		39.2%	39.6%	40.0%	40.2%	40.4%
D&A – % of revenue		5.3%	5.3%	5.3%	5.3%	5.3%
Capex – % of revenue		8.5%	8.5%	8.5%	8.5%	8.5%
Cost of sales – % of revenue		26.0%	26.0%	26.0%	26.0%	26.0%
Receivable days		66.0	66.0	66.0	66.0	66.0
Inventory days		165.0	165.0	165.0	165.0	165.0
Payable days		120.0	120.0	120.0	120.0	120.0
Cash tax rate	18.7%	19.0%	19.0%	19.0%	19.0%	19.0%
SBC – % of revenue		1.4%	1.4%	1.4%	1.4%	1.4%
Revenue build						
Pharmaceuticals sales	47,669.0	49,575.8	51,806.7	53,878.9	55,764.7	57,437.6
Diagnostics sales	13,847.0	14,054.7	14,476.3	14,983.0	15,507.4	16,050.2
Group sales	61,516.0	63,630.5	66,283.0	68,862.0	71,272.1	73,487.8
Other revenue	1,840.0	1,908.9	1,988.5	2,065.9	2,138.2	2,204.6
Revenue	63,356.0	65,539.4	68,271.5	70,927.8	73,410.3	75,692.5
Revenue growth	1.5%	3.4%	4.2%	3.9%	3.5%	3.1%
Profitability						
Adjusted EBITDA	24,543.0	25,691.4	27,035.5	28,371.1	29,510.9	30,579.8
Adjusted EBITDA margin	38.7%	39.2%	39.6%	40.0%	40.2%	40.4%
Depreciation & amortisation	(3,386.0)	(3,473.6)	(3,618.4)	(3,759.2)	(3,890.7)	(4,011.7)
EBIT (adjusted, after amortisation)	21,157.0	22,217.8	23,417.1	24,612.0	25,620.2	26,568.1
EBIT margin	33.4%	33.9%	34.3%	34.7%	34.9%	35.1%
Taxes on EBIT	(3,956.4)	(4,221.4)	(4,449.3)	(4,676.3)	(4,867.8)	(5,047.9)
NOPAT	17,200.6	17,996.5	18,967.9	19,935.7	20,752.4	21,520.1
Working capital						
Cost of sales (for days calculation)	16,645.0	17,040.2	17,750.6	18,441.2	19,086.7	19,680.0
Accounts receivable	11,506.0	11,851.0	12,345.0	12,825.3	13,274.2	13,686.9
Inventories	7,479.0	7,703.1	8,024.2	8,336.4	8,628.2	8,896.5
Accounts payable	5,779.0	5,602.3	5,835.8	6,062.9	6,275.1	6,470.1
Trade working capital	13,206.0	13,951.8	14,533.4	15,098.9	15,627.3	16,113.2
(Increase) / decrease in working capital	803.0	(745.8)	(581.6)	(565.5)	(528.5)	(485.8)
Unlevered free cash flow						
NOPAT	17,200.6	17,996.5	18,967.9	19,935.7	20,752.4	21,520.1
Add: depreciation & amortisation	3,386.0	3,473.6	3,618.4	3,759.2	3,890.7	4,011.7
Less: capex	(5,779.0)	(5,570.8)	(5,803.1)	(6,028.9)	(6,239.9)	(6,433.9)
Less: increase in working capital	803.0	(745.8)	(581.6)	(565.5)	(528.5)	(485.8)
Unlevered free cash flow	15,610.6	15,153.4	16,201.6	17,100.5	17,874.8	18,612.1
UFCF margin	24.6%	23.1%	23.7%	24.1%	24.3%	24.6%
Cash conversion (UFCF / adj. EBITDA)	63.6%	59.0%	59.9%	60.3%	60.6%	60.9%
Memo: stock-based compensation (inside EBITDA)	857.0	917.6	955.8	993.0	1,027.7	1,059.7
Integrity checks (all must be zero)						
Revenue: segments + other revenue – total	–	–	–	–	–	–
UFCF: EBITDA – tax – capex – ΔWC vs. UFCF	–	–	–	–	–	–
Working capital roll-forward	–	–	–	–	–	–
2025A base ties to Historicals (revenue, EBITDA)	–	–	–	–	–	–
BALANCE CHECK	–	–	–	–	–	–

OK – model balances

WACC

Cost of capital. CAPM cost of equity, after-tax cost of debt, market-value capital structure.

Item	Value	Comment
Capital structure (market values)		
Share price (CHF)	CHF 357.00	
Diluted shares (m)	803.0	FY2025 weighted diluted (Note 29)
Market capitalisation (E)	286,671.0	
Total debt	31,636.0	31 Dec 2025, latest audited balance sheet
Lease liabilities	1,555.0	
Total debt incl. leases (D)	33,191.0	
Enterprise capital (D + E)	319,862.0	
Debt / equity	11.6%	
Weight of debt $D / (D + E)$	10.4%	
Weight of equity $E / (D + E)$	89.6%	
Beta		
Tax rate (for leveraging)	19.0%	
Observed raw beta (local index)	0.35	
Blume-adjusted beta $(0.67 \times \text{raw} + 0.33)$	0.56	Standard Bloomberg adjustment
Implied unlevered beta from observed	0.52	Reference only – local beta vs. SMI understates global systematic risk
Selected unlevered beta (Assumptions)	0.80	
Relevered beta $\beta_u \times (1 + (1 - t) \times D/E)$	0.88	
Cost of equity (CAPM)		
Risk-free rate	1.0%	
Equity risk premium	6.5%	
Cost of equity $r_f + \beta \times \text{ERP}$	6.7%	
Cost of debt		
Implied: 2025 interest expense / average debt	3.4%	Cross-check for the Assumptions input
Pre-tax cost of debt (Assumptions)	3.5%	
After-tax cost of debt	2.8%	
Weighted average cost of capital		
WACC	6.3%	

DCF

CHF millions. Mid-year convention with a stub period from the valuation date to 31 Dec 2026.

Scenario: Base case

Key inputs

Valuation date	2 Sep 2026
WACC	6.3%
Terminal growth	1.5%
Exit multiple (EV / EBITDA)	12.0x
Current share price	CHF 357.00

	2026E	2027E	2028E	2029E	2030E
Period end	31 Dec 2026	31 Dec 2027	31 Dec 2028	31 Dec 2029	31 Dec 2030
Fraction of period after valuation date	0.329	1.000	1.000	1.000	1.000
Discount period (mid-year)	0.164	0.829	1.829	2.829	3.829
Adjusted EBITDA	25,691.4	27,035.5	28,371.1	29,510.9	30,579.8
Unlevered free cash flow (full year)	15,153.4	16,201.6	17,100.5	17,874.8	18,612.1
UFCF attributable to valuation period	4,981.9	16,201.6	17,100.5	17,874.8	18,612.1
Discount factor	0.9900	0.9507	0.8945	0.8416	0.7918
PV of UFCF	4,932.2	15,403.1	15,296.0	15,042.6	14,736.6

Terminal value & enterprise value

	Perpetuity	Exit multiple
Sum of PV of forecast UFCF	65,410.5	65,410.5
Terminal-year metric (2030E UFCF / EBITDA)	18,612.1	30,579.8
Terminal value at end-2030	394,564.7	366,957.0
Discount period for TV	3.829	4.329
PV of terminal value	312,405.0	281,820.8
Enterprise value	377,815.5	347,231.3
Terminal value – % of EV	82.7%	81.2%
Implied exit multiple / implied perpetuity growth	12.9x	1.2%
EV / 2026E adjusted EBITDA	14.7x	13.5x

Perpetuity: mid-year (cash flows continue mid-year); exit: year-end (sale at 31 Dec 2030)

Enterprise value to equity value bridge

	Perpetuity	Exit multiple
Enterprise value	377,815.5	347,231.3
Less: total debt	(31,636.0)	(31,636.0)
Less: lease liabilities	(1,555.0)	(1,555.0)
Plus: cash and cash equivalents	5,582.0	5,582.0
Plus: marketable securities	9,894.0	9,894.0
Less: net pension deficit	(2,159.0)	(2,159.0)
Less: non-controlling interests (book)	(4,078.0)	(4,078.0)
Total EV-to-equity adjustments	(23,952.0)	(23,952.0)
Equity value	353,863.5	323,279.3
Diluted shares (m)	803.0	803.0
Implied value per share (CHF)	CHF 440.68	CHF 402.59
Current share price (CHF)	CHF 357.00	CHF 357.00
Implied upside / (downside)	23.4%	12.8%
Midpoint of both methods (CHF)	CHF 421.63	
Midpoint upside / (downside)	18.1%	

31 Dec 2025 balance sheet

EBITDA is pre-lease, so leases are debt-like

DB liabilities less DB assets (pre-tax)

Mainly Chugai (Roche owns 61.1%); book value – see notes

Sensitivity

Implied value per share (CHF). Every cell is a live re-computation of the DCF at the given WACC and terminal assumption.

WACC vs. terminal growth – perpetuity growth method

WACC ↓	Terminal growth →								
	0.5%	0.8%	1.0%	1.3%	1.5%	1.8%	2.0%	2.3%	2.5%
5.3%	452.7	475.8	501.5	530.4	563.2	600.6	643.6	693.8	752.9
5.5%	429.0	449.7	472.6	498.1	526.9	559.4	596.5	639.3	689.1
5.8%	407.6	426.2	446.6	469.4	494.8	523.3	555.6	592.5	635.0
6.0%	388.1	404.9	423.3	443.6	466.2	491.5	519.8	551.9	588.6
6.3%	370.3	385.5	402.2	420.5	440.7	463.1	488.2	516.3	548.2
6.5%	353.9	367.8	382.9	399.5	417.7	437.7	460.0	484.9	512.9
6.8%	338.9	351.6	365.4	380.4	396.8	414.9	434.8	457.0	481.7
7.0%	325.0	336.7	349.2	362.9	377.8	394.2	412.1	431.9	453.9
7.3%	312.2	322.9	334.4	346.9	360.5	375.3	391.5	409.4	429.1

WACC vs. exit multiple – exit multiple method

WACC ↓	Exit EV / EBITDA multiple →								
	10.0x	10.5x	11.0x	11.5x	12.0x	12.5x	13.0x	13.5x	14.0x
5.3%	358.0	373.2	388.5	403.7	418.9	434.2	449.4	464.6	479.9
5.5%	354.5	369.5	384.6	399.7	414.8	429.8	444.9	460.0	475.1
5.8%	351.0	365.9	380.8	395.7	410.7	425.6	440.5	455.4	470.4
6.0%	347.5	362.3	377.1	391.8	406.6	421.4	436.1	450.9	465.7
6.3%	344.1	358.7	373.3	388.0	402.6	417.2	431.8	446.5	461.1
6.5%	340.7	355.2	369.7	384.2	398.6	413.1	427.6	442.1	456.5
6.8%	337.4	351.7	366.1	380.4	394.7	409.0	423.4	437.7	452.0
7.0%	334.1	348.3	362.5	376.7	390.8	405.0	419.2	433.4	447.6
7.3%	330.9	344.9	358.9	373.0	387.0	401.1	415.1	429.2	443.2

Current price: CHF 357.00 | centre cell = live DCF output (bold box)

Charts

Chart data below is fully linked; charts update with the scenario switch.

Revenue, EBITDA & margin								
	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	60,441.0	62,395.0	63,356.0	65,539.4	68,271.5	70,927.8	73,410.3	75,692.5
Adjusted EBITDA	21,988.0	23,504.0	24,543.0	25,691.4	27,035.5	28,371.1	29,510.9	30,579.8
Adj. EBITDA margin	36.4%	37.7%	38.7%	39.2%	39.6%	40.0%	40.2%	40.4%

UFCF bridge 2026E (waterfall)						
Step	Value	Cumulative	Base	Increase	Decrease	Total
Adj. EBITDA	25,691.4	25,691.4	—	—	—	25,691.4
Taxes	(4,221.4)	21,470.0	21,470.0	—	4,221.4	—
Capex	(5,570.8)	15,899.2	15,899.2	—	5,570.8	—
Δ Working capital	(745.8)	15,153.4	15,153.4	—	745.8	—
UFCF 2026E	15,153.4	15,153.4	—	—	—	15,153.4
Check: cumulative vs. UFCF	—					

Valuation summary – football field (CHF per share)			
Method	Low	High	Bar length
52-week trading range	254.00	375.80	121.80
Trading comps (EV / 2026E EBITDA)	306.11	402.10	95.98
DCF – exit multiple (±1 step)	384.15	421.37	37.22
DCF – perpetuity growth (±1 step)	399.47	491.47	92.00
Current share price	CHF 357.00		

Football field note: read the current share price (row 25) against the bars; the 52-week bar brackets the market range.

